i. It was not a geographical zone – any firm could opt into the regulatory scheme.
ii. The main policies were – ease of inputs and materials imports, no restriction on repatriation of profits, a 10-year income tax holiday for foreign investors, a policy of centralized wage setting, and an implicit assurance that labour unrest would be minimized and wage increases moderate.[35]
iii. Firms were allowed to constantly adjust labour force through layoffs and realistic compensation packages and allowed greater flexibility in work hours.
iv. It had relaxed laws so that women could participate to a greater extent.

These structural transition had a very positive and quicker impact on the economy. The first stage was motivated by a productive structural shift and ensuring full employment. By 1990, about one-third of the labour force on the island, 90,000 people, was employed in the EPZs. Jobs added in the EPZs accounted for two-thirds of the total increase in employment between 1970 and 1990. Increased per capita incomes from this transition eventually fuelled more human capital build-up, allowing further diversification into services.

Labour Laws as Impediment

A rapid expansion of the manufacturing sector has been a key element of the growth experience of successful developing countries, especially labour-abundant ones. In this context, the Indian manufacturing sector exhibits many peculiarities:

i. It contributes (also documented earlier in the chapter) a rather small and stagnant share to GDP;
ii. Its composition is more skewed towards skill and capital intensive activities compared to countries at similar levels of development;[36]
iii. Only a small share of employment in manufacturing is in organised manufacturing. The unorganised manufacturing sector accounted for almost 70 per cent of total manufacturing employment in 2009-10[37];